

Rocket Lab

NASDAQ : RKLB · Young-Company \$41.36B mkt cap · 578M sh · \$1.48B cash, zero debt · >\$2.2B backlog (Q1'26); Pending ~\$8B Iridium acquisition — mid-2027 close; Neutron first launch targeted Q4 2026

\$71.55

THE CENTRAL QUESTION

Does ~\$41B (~45x FY26E revenue) — plus a pending ~\$8B debt-and-stock purchase of Iridium's constellation — price a realistic path to a space prime when the second act is bought, not originated?

Rocket Lab has halved to ~\$41B at \$71.55 — ~68x trailing sales, ~45x the ~\$900M FY26 run-rate — while the business accelerated (Q1'26 revenue +64%, backlog >\$2.2B). And the second act changed form: rather than originate a constellation, RKLB agreed to buy one — the pending ~\$8B Iridium acquisition (mid-2027 close; \$871M revenue, ~\$495M operational EBITDA, 2.6M subscribers), funded by a \$3.6B bridge plus up to ~44M collared shares. The DCF asks whether a halved price plus a leveraged, dilutive constellation purchase changes the answer. The finding: it narrows the gap, not the verdict — the weighted sits ~38% below spot; the market still prices near-certain success.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$44.23

expected fair value today
-38.2% vs spot \$71.55

FORWARD COMPOUNDED VALUE

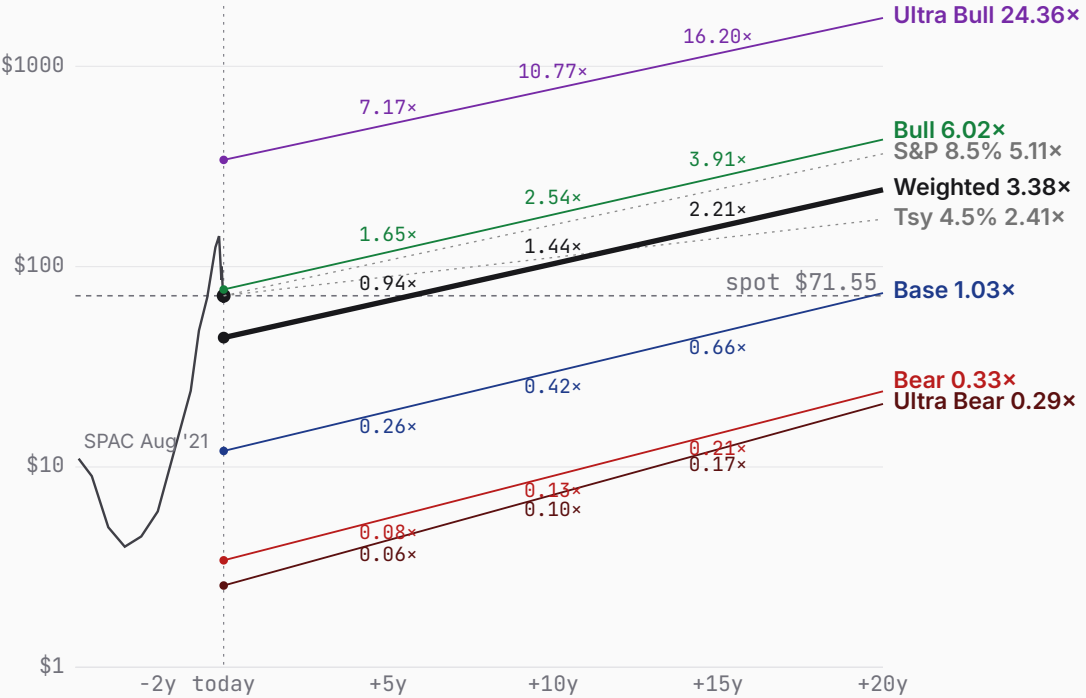
+5y	+10y	+15y	+20y
\$67.60	\$103.36	\$158.09	\$241.89
0.94x spot	1.44x spot	2.21x spot	3.38x spot

WEIGHTING RATIONALE

- Ultra Bear 10% Neutron fails; Iridium deal breaks; defensive dilution.
- Bear 25% Neutron slips; deal closes at max collar dilution + ~\$5B debt.
- Base 35% Neutron works; #2 prime + a value-neutral bought constellation.
- Bull 24% Reusable Neutron scales; the constellation leg arrives by purchase.
- Ultra Bull 6% Next-gen constellation on acquired spectrum; ~\$212B smaller-SpaceX.

Bull (24%) + Ultra Bull (6%) together contribute \$38.91 — 88% of the \$44.23 expected value despite 30% combined probability. Today's spot (\$71.55) sits 62% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	\$2.56	BEAR	\$3.42	BASE	\$12.02	BULL	\$76.90	ULTRA BULL	\$340.98
	-96.4% vs spot		-95.2% vs spot		-83.2% vs spot		+7.5% vs spot		+376.6% vs spot
TAM 1.1% P(fail) 25% S2C 1.7 Prob 10%		TAM 3.3% P(fail) 12% S2C 1.9 Prob 25%		TAM 5.8% P(fail) 5% S2C 2.1 Prob 35%		TAM 13.8% P(fail) 3% S2C 2.4 Prob 24%		TAM 30.4% P(fail) 2% S2C 2.5 Prob 6%	
Neutron fails; Iridium breaks; SpaceX runs away.		Neutron slips; Iridium closes at max dilution.		Neutron works; #2 prime + bought constellation.		Neutron scales; constellation act bought, not built.		Next-gen constellation on Iridium spectrum; smaller-SpaceX.	



Rocket Lab scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 10% Bear 25% Base 35% Bull 24% Ultra Bull 6% · Weighted expected \$44.23 (-38.2% vs spot)

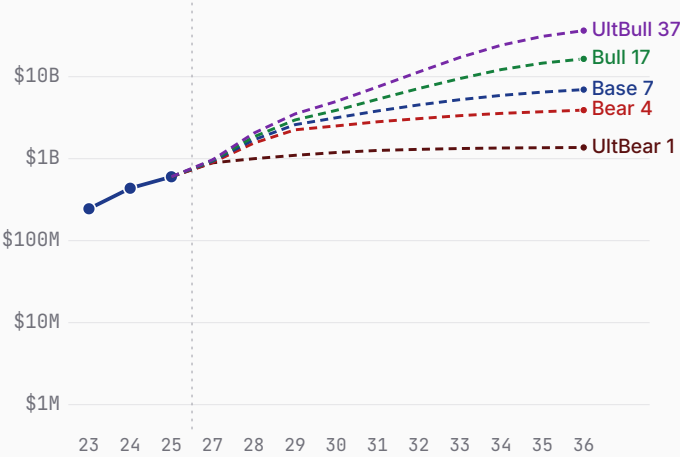
ULTRA BEAR	\$2.56	BEAR	\$3.42	BASE	\$12.02	BULL	\$76.90	ULTRA BULL	\$340.98
	-96.4% vs spot		-95.2% vs spot		-83.2% vs spot		+7.5% vs spot		+376.6% vs spot
Probability 10%		Probability 25%		Probability 35%		Probability 24%		Probability 6%	
Neutron fails; Iridium breaks; SpaceX runs away.		Neutron slips; Iridium closes at max dilution.		Neutron works; #2 prime + bought constellation.		Neutron scales; constellation act bought, not built.		Next-gen constellation on Iridium spectrum; smaller-SpaceX.	
WHY 10%		WHY 25%		WHY 35%		WHY 24%		WHY 6%	
The compound bear: a Neutron failure plus a broken Iridium deal plus persistent thin margins. Aerospace hardware is unforgiving and SpaceX's cost curve is brutal. The deal-break lives here because it is endogenous — the same world that kills Neutron collapses the collared stock consideration. 25% within-scenario failure probability reflects capital hunger after a failed flagship program, cushioned by \$1.48B cash.		Neutron works but underwhelms on cadence/cost; Space Systems grows steadily without becoming a prime; the acquisition closes on bear-case terms (maximum collar dilution + ~\$5B debt). 12% within-scenario failure probability — the leverage is real but Iridium's recurring EBITDA covers it. The 25% weight reflects this as a very plausible 'competent but capped' outcome.		Requires the least faith: Neutron works (not dominates), Space Systems keeps compounding, margins reach an aerospace-prime ~18%, and a well-telegraphed merger closes. No SpaceX-topping assumption. 5% failure probability given \$1.48B cash, >\$2.2B backlog, and revenue diversification. 35% weight as the central outcome.		A chain: Neutron reusability works AND captures share AND Space Systems scales — with the constellation leg de-risked from 'build one' to 'integrate the one just bought' (conditional on close, not on invention). That de-risking is why two points move here from the ultra-bull: 22% to 24%. Still conjunctive on execution.		Tail of tails, re-anchored: every bull condition hits AND the Iridium platform becomes the springboard for a next-generation constellation at platform scale. The origination gate weakened — management committed ~\$8B, a \$3.6B bridge, and collared equity to a mature narrowband network just as Starship reached the cusp of Starlink V3 deployment (first attempt aborted Jul 16, rescheduled to Jul 23-24) — so the tail trims from 8% to 6%, with the freed weight moved to the de-risked bull.	
WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS	
The compound failure: Neutron's program stalls for good, and the Iridium deal breaks endogenously — the collared stock consideration collapses through its \$67.50 floor, the bridge financing wobbles, and Iridium holders walk. RKLB stays a sub-scale small-lift + components shop while satellite primes in-source and margins stay structurally thin.		Neutron flies late and at low cadence; RKLB remains the credible #2 but never escapes SpaceX's shadow on cost or volume. The Iridium deal still closes mid-2027 — the approvals do not depend on Neutron — but on the worst terms: with the stock below the \$67.50 collar floor, Iridium holders receive the maximum 0.40 exchange ratio (~44M new shares) and RKLB carries ~\$5B of deal debt.		The modal path: Neutron certifies and reaches meaningful cadence, RKLB consolidates the clear #2 launch position, and Space Systems compounds ~25% to ~\$5.9B organic revenue by FY35 at an ~18% mature operating margin. Iridium closes mid-2027 at roughly today's collar ratio (~42M new shares) and layers ~\$1B of slow-growing, ~50%-margin constellation revenue on top — ~\$7.0B combined.		The bull: Neutron's reusability lands RKLB real medium-lift share, Space Systems becomes a top-tier prime, and the constellation leg — previously the speculative build-your-own story — arrives by purchase: Iridium's operating network and licensed L-band spectrum, modernized and expanded, make recurring service revenue real from the close. Revenue compounds toward ~\$16.5B by FY35 at a ~32% blended margin.		The re-anchored tail: the originate-a-constellation story is superseded — management bought its second act. Here RKLB integrates Iridium and scales a next-generation data/broadband constellation on the acquired licensed global L-band spectrum and 2.6M-subscriber base, on top of a vertically-integrated launch+systems prime. Revenue reaches ~\$36.5B by FY35 at a ~38% blended margin, with a platform terminal gated on the spectrum cornered resource.	
The completed ATM leaves \$1.48B of cash, so the floor is a slow burn-down, not sudden insolvency — but defensive raises at collapsed prices (~\$30) still dilute, and by FY35 revenue is ~\$1.4B at ~7-8% operating margin. With a 25% within-scenario chance of restructuring, expected value sits near the distress floor.		Iridium's steady ~\$0.45B of annual pre-tax free cash flow services the debt and cushions the downside, but a low-growth constellation bought at ~16x operational EBITDA with depressed stock is mildly value-destructive here. Its latest standalone print (Q2'26) reads the part — operational EBITDA slightly down YoY (\$119.1M vs \$121.3M) on +6% subscribers, guidance suspended, plus a \$366.7M cash purchase of Aireon (aviation surveillance) closed Jul 2026 inside the deal perimeter. The DCF lands ~\$3.30 — the 'good company, wrong price' world, now with leverage.		At ~16x operational EBITDA funded with debt and depressed stock, the purchase is roughly value-neutral in this world — its cash stream about pays for its debt and dilution. DCF ~\$12.30. Even this constructive base sits ~83% below today's \$71.55 — the market is paying for a far larger outcome than a successful-but-rational base delivers.		One conjunctive leg is bought rather than built, conditional only on the close; the offsets are ~\$5B of deal debt and ~33M collared shares. DCF ~\$79 — barely above today's \$71.55. Even the bull is roughly fully priced, which is the entry-price story in one line.		DCF ~\$348/share — equity ~\$212B, a credible smaller-SpaceX (~5.8x sales, vs SpaceX's ~23x private mark, most of which is Starlink). The exponential tail still clears spot by ~4.9x — but it now requires flawless integration of an \$8B leveraged acquisition AND a next-gen build-out, against a Starship on the cusp of Starlink V3 deployment (first attempt aborted Jul 16, rescheduled to Jul 23-24).	

Rocket Lab business snapshot

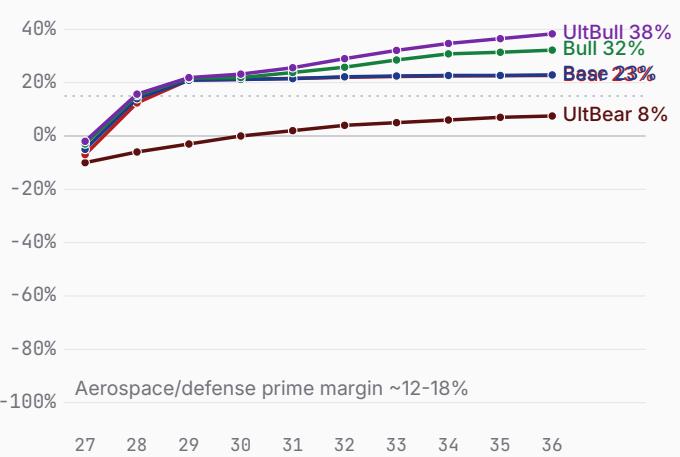
Bear \$3.42 Base \$12.02 Bull \$76.90

FY23-FY25 history + FY26-FY35 scenario projections · fiscal years end Dec 31 · 10-K FY25, Q1'26 release

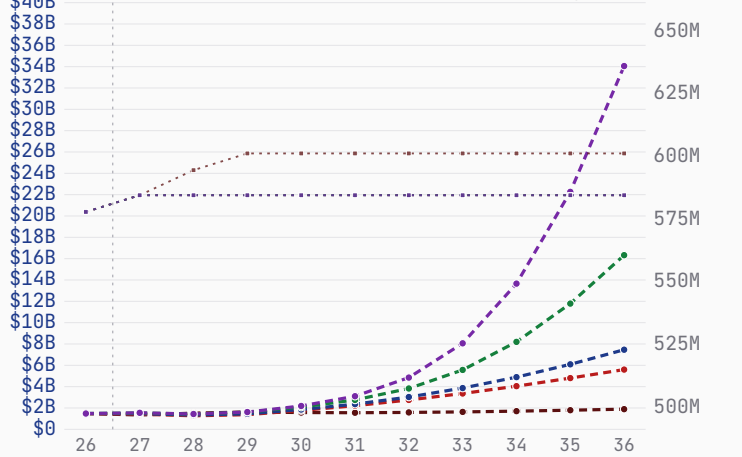
Revenue — history + scenarios to FY36 (log)



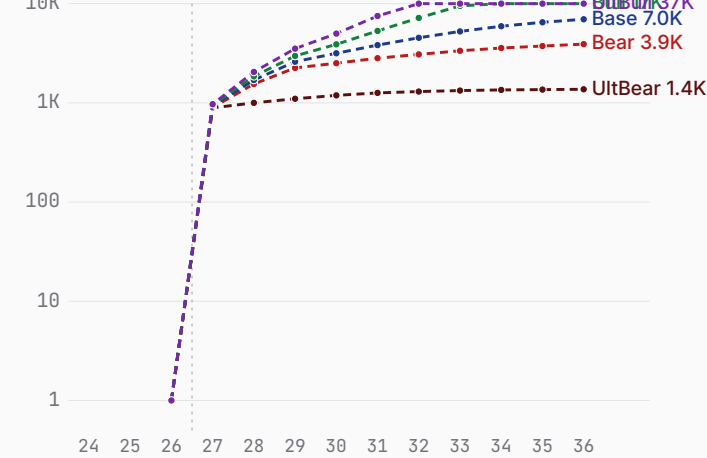
Path to profitability — op margin (FY27→FY36)



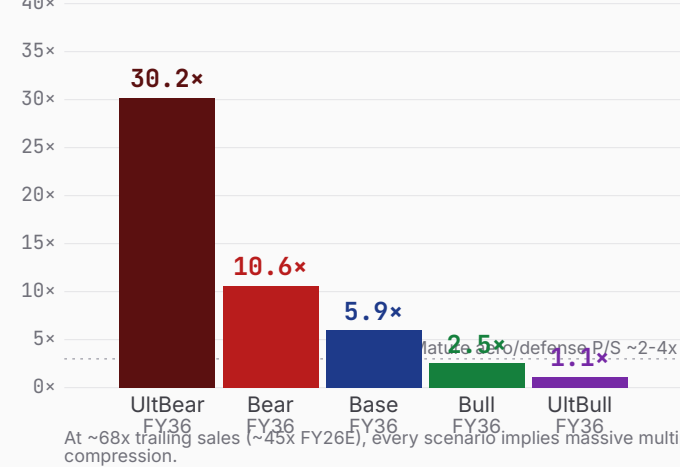
Cash + dilution (FY26 → FY36)



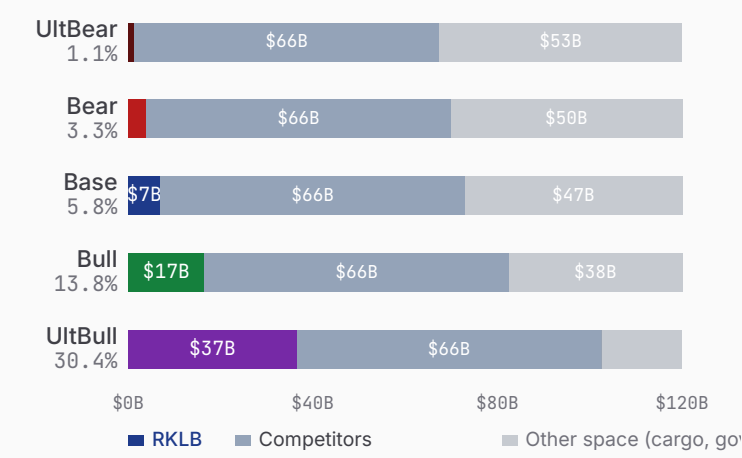
Revenue ramp (log)



\$41.36B mkt cap as P/S on FY36 rev



\$120B FY35 launch + space-systems TAM — RKL share



Sources: RKL FY2025 results (Feb 2026), Q1'26 release (May 2026), Iridium merger announcement (Jun 2026), Iridium Q2'26 release (Jul 2026), company guidance. FCF is NOL-shielded pre-tax over the explicit window (documented simplification). Close scenarios carry Iridium pro-forma from mid-2027. TAM: launch + space-systems serviceable slice, ~\$120B by FY35.

Rocket Lab 7 Powers · the moat, scored

Bear \$3.42 Base \$12.02 Bull \$76.90

Arena. Space launch + space systems — Rocket Lab (Electron small-lift, Neutron medium-lift reusable coming, vertically-integrated Space Systems) vs SpaceX (dominant), Firefly, Stoke Space, ULA/Blue Origin; the race to become a vertically-integrated space prime.

POWER ORIENTATION
origination window: open

POWER ORIENTATION · 7 POWERS

Scale Economies	Electron cadence builds a learning curve; Neutron reusability could reset cost, but it is pre-launch.
Network Economies	Constellation/data flywheel — now acquire-and-integrate via the pending Iridium deal (mid-2027 close); scores 1 until it closes and integrates.
Counter-Positioning	Vertically integrated launch + components + future constellation — few new-space peers can replicate the full stack.
Switching Costs	Space Systems components get designed-in (some lock-in); launch is largely contestable.
Branding	The credible #2 launch brand after SpaceX; strong gov/defense trust.
Cornered Resource · thesis leans here	Launch sites/licenses, component portfolio, Beck-led talent, Neutron IP — plus, pending close, Iridium's licensed global L-band spectrum and 2.6M-subscriber constellation, a textbook cornered resource.
Process Power	Electron reliability + manufacturing learning curve; a genuine, if narrow, process edge.

COMPETITIVE READ

Rocket Lab is assembling a vertically-integrated space-prime position — the credible #2 to SpaceX — with record Electron cadence, a >\$2.2B backlog, an NSSL Lane 1 seat (ceiling raised \$5.6B to \$17B; a \$266M USAF award), and now a pending purchase of Iridium's L-band constellation rather than an originated one. But Neutron is unproven (Q4'26 debut holds with slip risk after the July full-duration hot-fire), and Starship's first Starlink V3 deployment attempt (Flight 13) aborted Jul 16 and was rescheduled to Jul 23-24 — the cost-and-scale gravity well the bull case must clear is imminent, not yet operational.

THE RACE · NAMED RIVALS

SpaceX	\$ tens of B; Starlink cash flow
~45% terminal share · Falcon 9 cadence + Starship + Starlink — the gravity well of the industry.	
ULA / Blue Origin	Boeing/LM + Bezos
~12% terminal share · Vulcan / New Glenn — an integrated vehicle destroyed in a May 28 hot-fire anomaly, return-to-flight targeted before end-2026; legacy contracts + Bezos capital.	
Firefly Aerospace	public; funded
~8% terminal share · Alpha + Elytra + MLV; lunar lander; recently public.	
Stoke Space	venture-backed; NSSL Lane 1 awardee
~5% terminal share · Nova stage-1 proto-qual complete (Jun 2026), end-2026 debut target; fully reusable from day one.	

LEAD / LAG · FALSIFIERS

Medium-lift reusable launch	Neutron pre-launch vs Falcon 9 + Starship	LAGGING
Launch cadence (per yr)	~24-26 pace (Electron, 2026) vs >100 (SpaceX)	LAGGING
Space Systems revenue scale	leading new-space vs fragmented	LEADING

Rocket Lab show your work

Bear \$3.42 Base \$12.02 Bull \$76.90 · Weighted \$44.23 (-38.2%)

ULTRA BEAR					\$2.56					BEAR					\$3.42					BASE					\$12.02					BULL					\$76.90					ULTRA BULL					\$340.98				
ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS				
TAM Year-10 (\$B)					120	TAM Year-10 (\$B)					120	TAM Year-10 (\$B)					120	TAM Year-10 (\$B)					120	TAM Year-10 (\$B)					120	TAM Year-10 (\$B)					120	TAM Year-10 (\$B)					120	TAM Year-10 (\$B)					120		
Mature share (%)					1.1	Mature share (%)					3.3	Mature share (%)					5.8	Mature share (%)					13.8	Mature share (%)					30.4	Mature share (%)					8.5	Mature share (%)					6.0	Mature share (%)					2.5		
Mature op margin (%)					8	Mature op margin (%)					23	Mature op margin (%)					23	Mature op margin (%)					32	Mature op margin (%)					38	Mature op margin (%)					24	Mature op margin (%)					24	Mature op margin (%)					6		
Sales-to-capital					1.7	Sales-to-capital					1.9	Sales-to-capital					2.1	Sales-to-capital					2.4	Sales-to-capital					2.4	Sales-to-capital					2.4	Sales-to-capital					2.4	Sales-to-capital					2.4		
Terminal WACC (%)					11.0	Terminal WACC (%)					10.2	Terminal WACC (%)					9.5	Terminal WACC (%)					9.0	Terminal WACC (%)					9.0	Terminal WACC (%)					9.0	Terminal WACC (%)					9.0	Terminal WACC (%)					9.0		
Terminal growth (%)					2.5	Terminal growth (%)					3.0	Terminal growth (%)					3.5	Terminal growth (%)					5.0	Terminal growth (%)					5.0	Terminal growth (%)					5.0	Terminal growth (%)					5.0	Terminal growth (%)					5.0		
P(failure) (%)					25	P(failure) (%)					12	P(failure) (%)					5	P(failure) (%)					3	P(failure) (%)					3	P(failure) (%)					3	P(failure) (%)					3	P(failure) (%)					3		
Scenario probability (%)					10	Scenario probability (%)					25	Scenario probability (%)					35	Scenario probability (%)					24	Scenario probability (%)					24	Scenario probability (%)					24	Scenario probability (%)					24	Scenario probability (%)					24		
10-YEAR DCF · \$B					10-YEAR DCF · \$B					10-YEAR DCF · \$B					10-YEAR DCF · \$B					10-YEAR DCF · \$B					10-YEAR DCF · \$B					10-YEAR DCF · \$B					10-YEAR DCF · \$B					10-YEAR DCF · \$B					10-YEAR DCF · \$B				
FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF															
FY27	0.89	-10%	-0.26	-0.23	FY27	0.90	-7%	-0.22	-0.20	FY27	0.93	-5%	-0.20	-0.18	FY27	0.95	-3%	-0.17	-0.16	FY27	0.97	-2%	-0.17	-0.15	FY27	0.99	-1%	-0.16	-0.14	FY27	1.00	0%	-0.15	-0.13	FY27	1.01	1%	-0.14	-0.12										
FY28	1.00	-6%	-0.13	-0.10	FY28	1.55	+12%	-0.15	-0.12	FY28	1.70	+14%	-0.13	-0.10	FY28	1.85	+15%	-0.09	-0.08	FY28	2.05	+16%	-0.11	-0.09	FY28	2.25	+17%	-0.10	-0.08	FY28	2.45	+18%	-0.09	-0.07	FY28	2.65	+19%	-0.08	-0.06										
FY29	1.10	-3%	-0.09	-0.06	FY29	2.25	+21%	+0.10	+0.07	FY29	2.60	+21%	+0.12	+0.08	FY29	2.97	+22%	+0.18	+0.13	FY29	3.52	+22%	+0.18	+0.14	FY29	4.07	+23%	+0.19	+0.15	FY29	4.62	+24%	+0.20	+0.16	FY29	5.17	+25%	+0.21	+0.17										
FY30	1.19	+0%	-0.05	-0.03	FY30	2.51	+21%	+0.40	+0.25	FY30	3.16	+21%	+0.40	+0.26	FY30	3.89	+22%	+0.47	+0.31	FY30	4.99	+23%	+0.57	+0.39	FY30	6.09	+24%	+0.67	+0.49	FY30	7.19	+25%	+0.77	+0.59	FY30	8.29	+26%	+0.87	+0.69										
FY31	1.26	+2%	-0.02	-0.01	FY31	2.82	+22%	+0.45	+0.26	FY31	3.82	+22%	+0.51	+0.30	FY31	5.31	+24%	+0.67	+0.41	FY31	7.51	+26%	+0.92	+0.57	FY31	9.71	+28%	+1.17	+0.81	FY31	11.91	+30%	+1.42	+1.06	FY31	14.11	+32%	+1.67	+1.31										
FY32	1.30	+4%	+0.03	+0.01	FY32	3.08	+22%	+0.54	+0.28	FY32	4.53	+22%	+0.67	+0.36	FY32	7.18	+26%	+1.07	+0.59	FY32	11.43	+29%	+1.75	+0.99	FY32	15.68	+31%	+2.43	+1.67	FY32	19.93	+33%	+3.10	+2.34	FY32	24.18	+35%	+3.77	+3.01										
FY33	1.33	+5%	+0.05	+0.02	FY33	3.35	+22%	+0.60	+0.28	FY33	5.25	+23%	+0.84	+0.41	FY33	9.50	+28%	+1.74	+0.87	FY33	17.20	+32%	+3.21	+1.66	FY33	24.90	+34%	+4.68	+3.14	FY33	32.60	+36%	+6.15	+4.61	FY33	40.30	+38%	+7.62	+6.08										
FY34	1.35	+6%	+0.07	+0.03	FY34	3.57	+23%	+0.69	+0.29	FY34	5.92	+23%	+1.02	+0.45	FY34	12.22	+31%	+2.63	+1.20	FY34	24.22	+35%	+5.60	+2.66	FY34	36.22	+37%	+8.57	+5.63	FY34	48.22	+39%	+11.54	+8.60	FY34	60.22	+41%	+14.51	+11.67										
FY35	1.36	+7%	+0.09	+0.03	FY35	3.74	+23%	+0.76	+0.29	FY35	6.49	+23%	+1.20	+0.48	FY35	14.64	+31%	+3.59	+1.50	FY35	31.04	+37%	+8.60	+3.76	FY35	47.04	+39%	+11.57	+11.60	FY35	63.04	+41%	+14.54	+14.67	FY35	79.04	+43%	+17.51	+17.74										
FY36	1.37	+8%	+0.10	+0.03	FY36	3.91	+23%	+0.80	+0.28	FY36	6.96	+23%	+1.37	+0.50	FY36	16.50	+32%	+4.54	+1.75	FY36	36.50	+38%	+11.80	+4.75	FY36	52.50	+40%	+14.77	+14.80	FY36	68.50	+42%	+17.74	+17.77	FY36	84.50	+44%	+20.71	+20.74										
Σ PV explicit FCF					-0.31	Σ PV explicit FCF					+1.68	Σ PV explicit FCF					+2.57	Σ PV explicit FCF					+6.53	Σ PV explicit FCF					+14.66	Σ PV explicit FCF					+23.61	Σ PV explicit FCF					+32.56								
+ PV terminal (g 2.5%)					0.38	+ PV terminal (g 3.0%)					3.94	+ PV terminal (g 3.5%)					8.69	+ PV terminal (g 5.0%)					45.81	+ PV terminal (g 6.0%)					201.30	+ PV terminal (g 7.0%)					350.98	+ PV terminal (g 8.0%)					490.66								
EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE				
Operating EV					\$0.07B	Operating EV					\$5.62B	Operating EV					\$11.26B	Operating EV					\$52.34B	Operating EV					\$215.96B	Operating EV					\$863.84B	Operating EV					\$3455.36B	Operating EV					\$13821.44B		
+ Cash & investments					\$1.48B	+ Cash – total debt					-\$3.52B	+ Cash – total debt					-\$3.52B	+ Cash – total debt					-\$3.52B	+ Cash – total debt					-\$3.52B	+ Cash – total debt					-\$3.52B	+ Cash – total debt					-\$3.52B	+ Cash – total debt					-\$3.52B		
= Equity value					\$1.55B	= Equity value					\$2.10B	= Equity value					\$7.74B	= Equity value					\$48.82B	= Equity value					\$212.44B	= Equity value					\$860.32B	= Equity value					\$3441.84B	= Equity value					\$13787.92B		
Raised over period					\$0.97B	Raised over period					\$0.47B	Raised over period					\$0.47B	Raised over period					\$0.47B	Raised over period					\$0.47B	Raised over period					\$0.47B	Raised over period					\$0.47B	Raised over period					\$0.47B		
Dilution by FY36					+4%	Dilution by FY36					+9%	Dilution by FY36					+8%	Dilution by FY36					+7%	Dilution by FY36					+6%	Dilution by FY36					+5%	Dilution by FY36					+4%	Dilution by FY36					+3%		
FY36 shares (M)					601	FY36 shares (M)					629	FY36 shares (M)					627	FY36 shares (M)					618	FY36 shares (M)					611	FY36 shares (M)					604	FY36 shares (M)					597	FY36 shares (M)					590		
DCF per share					\$2.58	DCF per share					\$3.34	DCF per share					\$12.34	DCF per share					\$79.00	DCF per share					\$347.69	DCF per share					\$1390.76	DCF per share					\$5563.04	DCF per share					\$22252.16		
× (1–P_fail) [75%]					\$1.94	× (1–P_fail) [88%]					\$2.94	× (1–P_fail) [95%]					\$11.72	× (1–P_fail) [97%]					\$76.63	× (1–P_fail) [98%]					\$340.74	× (1–P_fail) [99%]					\$1362.88	× (1–P_fail) [100%]					\$5451.02	× (1–P_fail) [100%]					\$21804.30		
+ P_fail × distress [25% × \$2.50]					\$0.63	+ P_fail × distress [12% × \$4.00]					\$0.48	+ P_fail × distress [5% × \$6.00]					\$0.30	+ P_fail × distress [3% × \$9.00]					\$0.27	+ P_fail × distress [2% × \$12.00]					\$0.24	+ P_fail × distress [1% × \$18.00]					\$0.18	+ P_fail × distress [0% × \$24.00]					\$0.12	+ P_fail × distress [0% × \$30.00]					\$0.06		
= Expected per share					\$2.56	= Expected per share					\$3.42	= Expected per share					\$12.02	= Expected per share					\$76.90	= Expected per share					\$340.98	= Expected per share					\$1363.96	= Expected per share					\$5455.10	= Expected per share					\$21810.40		
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT				
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y																
\$4.31	\$7.27	\$12.25	\$20.64		\$5.56	\$9.03	\$14.68	\$23.86		\$18.92	\$29.79	\$46.89	\$73.82		\$118.32	\$182.05	\$280.11	\$430.98		\$512.72	\$770.95	\$1,159.24	\$1,743.11		\$2159.68	\$3239.51	\$4919.34	\$7379.17		\$2772.72	\$4159.08	\$6238.61	\$9357.92																
0.06×	0.10×	0.17×	0.29×		0.08×	0.13×	0.21×	0.33×		0.26×	0.42×	0.66×	1.03×		1.65×	2.54×	3.91×	6.02×		7.17×	10.77×	16.20×	24.36×		30.40×	45.60×	68.40×	102.60×		37.00×	55.50×	83.25×	124.88×																

Rocket Lab

People · Opportunity · Context · Deal

Bear \$3.42 Base \$12.02 Bull \$76.90

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Sir Peter Beck · founder-led

13 yrs in seat

9%insider ownership

HIGHkey-person risk

Capital allocation (realized)
Vertical-integration roll-up (Space Systems): six closed tuck-ins — Sinclair, ASI, Planetary Systems, SolAero (\$80M), Geost (\$275M), Mynaric (\$155M) — funded partly by a \$355M 4.25% 2029 convertible (2024). Step-change Jun 2026: the ~\$8B Iridium agreement (\$27 cash + collared stock, \$3.6B bridge) moves to leveraged large-scale M&A. No buyback; share count grows with organic + deal dilution.

Incentive alignment
Equity-heavy comp (2024 ~\$20M, ~97% equity). March 2026: Beck cut salary to \$1, waived bonus, and forfeited all unvested RSUs. July 6-8, 2026: his trust sold 3.28M shares (~\$286M) under a 10b5-1 plan adopted 2026-03-27 (up to 5M shares), two trading days after the Iridium announcement — alignment rests on the remaining ~9% stake. RSUs time-based (no confirmed TSR/PSU program).

GOVERNANCE FLAGS

- SPAC origin (Vector Acquisition, 2021)
- CEO + Chairman combined (lead independent director)
- Series A founder control-continuity preferred (economically pass-through)
- majority-independent board (single insider)

PEOPLE READ

Founder-owner-operator (~9%, salary cut to \$1 in 2026) with a majority-independent board — still strongly aligned; the offsets are acute key-person concentration (Beck is CEO / Chair / de-facto CTO / public face), dilution now stepped up by large-scale M&A, and a 10b5-1 sale program running right behind the Iridium announcement.

THE FOUR LEGS

People

observable composite · 1–5

Opportunity

The scenario distribution · the business snapshot

Context

The 7 Powers analysis (Power Origination)

Deal

Open-market common — entry price weighed against the probability-weighted fair value (the -38% finding), then position-sized.



Rocket Lab supporting analysis · disclaimers · glossary

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PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1 **Best-capitalized new-space name.**

\$1.48B cash + >\$2.2B backlog (Q1'26); ATM complete, \$474M equity forward committed — the standalone burn is funded. The \$355M 2029 convert and the pending \$3.6B deal bridge are the debt to watch.
- 2 **Space Systems is the hidden engine.**

The majority of revenue is components/satellites, not launch — diversified, growing, and sticky (designed-in).
- 3 **Neutron is optionality, not the whole thesis.**

Even modeling Neutron conservatively, Space Systems alone compounds to a real business.
- 4 **Reusability could reset the cost curve.**

If Neutron lands reuse economics, the bull launch-share path opens — the single biggest swing factor.
- 5 **Backlog visibility.**

>\$2.2B backlog at Q1'26 (from \$1.85B at FY25) plus a record 36 Q1 launch contracts — unusual revenue visibility for a 'young' name.

FALSIFICATION TRIGGERS

Bull validation

Iridium close on terms by mid-2027 · bridge refinanced at sustainable cost · Neutron orbital debut Q4'26 · Q2 print Mon Aug 10

Bear validation

Deal break, or close at the 0.40 collar floor (max dilution) · pro-forma leverage above ~5x net debt/EBITDA at close · Beck's 10b5-1 completes the remaining ~1.7M shares

Reframe needed

At close the combined company (~\$1.8B revenue, ~\$400M+ EBITDA, real net debt) reads as a mature operating business — re-underwrite it as one the following quarter

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Electron — RKLB's small-lift (~300kg) orbital rocket; the established #2 to SpaceX by launch count.

Backlog — Contracted future revenue not yet recognized; RKLB's was >\$2.2B at Q1'26 (from \$1.85B at FY25).

Neutron — RKLB's reusable medium-lift (~13t) rocket targeting a Q4 2026 first launch; the core bull catalyst.

Collared stock (Iridium deal) — Each Iridium share receives \$27 cash plus \$27 of RKLB stock within a 0.24-0.40 exchange-ratio collar; below \$67.50 the 0.40 floor binds — maximum dilution (~44M new shares).

Space Systems — RKLB's non-launch segment: satellites, star trackers, solar, separation systems, components — the majority of revenue.

Sales-to-capital (s2c) — Damodaran reinvestment efficiency: incremental revenue per dollar of reinvested capital. Higher = more capital-efficient growth.